



SKY HIGH

Financial Management

Canadian Small Business Startup Checklist

Introduction

Starting a business in Canada involves more than registering a name and finding customers. Proper setup helps business owners stay organized, meet CRA requirements, manage finances effectively, and avoid costly mistakes. Use this checklist as a general guide when starting a new business.

1. Choose Your Business Structure

- ☐ Decide on the appropriate business structure:
 - Sole proprietorship
 - Partnership
 - Corporation
- ☐ Consider factors such as:
 - Liability protection
 - Tax implications
 - Startup costs
 - Future growth plans
- ☐ Consult with an accountant or advisor before making a final decision.

2. Register Your Business

- ☐ Choose a business name
- ☐ Check business name availability (if applicable)
- ☐ Register your business with the appropriate provincial or federal authority
- ☐ Obtain required business licences and permits
- ☐ Keep copies of all registration documents

3. Set Up CRA Business Accounts

- ☐ Apply for a CRA Business Number (BN), if required
- ☐ Determine which CRA program accounts apply:
 - GST/HST account
 - Payroll account
 - Import/export account
 - Corporate income tax account
- ☐ Set up access to CRA My Business Account
- ☐ Understand your CRA filing and payment deadlines

4. Open Business Banking Accounts

- ☐ Open a separate business bank account
- ☐ Obtain a business credit card (if needed)
- ☐ Avoid mixing personal and business transactions
- ☐ Keep records of all deposits and withdrawals

5. Set Up Your Bookkeeping System

- ☐ Choose an accounting software:
Examples:
 - QuickBooks
 - Xero
 - Sage
 - Wave
- ☐ Create your chart of accounts
- ☐ Set up:
 - Income categories
 - Expense categories
 - GST/HST tracking
 - Payroll accounts (if applicable)
- ☐ Establish a regular bookkeeping routine

6. Understand Tax Responsibilities

- ☐ Understand your income tax filing requirements
- ☐ Track business income accurately
- ☐ Keep records of deductible business expenses
- ☐ Maintain supporting documents:
 - Receipts
 - Invoices
 - Contracts
 - Bank statements
 - Expense records
- ☐ Understand CRA record retention requirements

7. Register for GST/HST (If Required)

- ☐ Determine whether GST/HST registration is required
- ☐ Register voluntarily if beneficial for your business
- ☐ Understand:
 - When to charge GST/HST
 - How to collect taxes
 - How to claim Input Tax Credits (ITCs)
 - Filing frequency
- ☐ Keep GST/HST records separate from business revenue

8. Set Up Payroll (If Hiring Employees)

- ☐ Register a CRA payroll account
- ☐ Collect required employee information
- ☐ Set up payroll software or process
- ☐ Understand payroll deductions:
 - CPP
 - EI
 - Income tax
- ☐ Remit payroll deductions on time
- ☐ Prepare annual T4 slips

9. Protect Your Business

- ☐ Obtain appropriate business insurance
- ☐ Prepare contracts and agreements
- ☐ Protect customer and financial information
- ☐ Consider professional advice for:
 - Tax planning
 - Accounting
 - Legal matters
 - Financial decisions

10. Plan for Financial Success

- ☐ Create a startup budget
- ☐ Prepare a cash flow forecast
- ☐ Monitor profitability regularly
- ☐ Review financial statements periodically
- ☐ Set financial goals for your business

11. Important Documents to Keep

- ☐ Business registration documents
- ☐ CRA correspondence
- ☐ Bank statements
- ☐ Invoices and receipts
- ☐ Customer contracts
- ☐ Supplier agreements
- ☐ Tax filings
- ☐ Financial statements

12. Common Startup Mistakes to Avoid

- Mixing personal and business expenses
- Not tracking receipts
- Missing GST/HST registration requirements
- Waiting until tax season to organize books
- Choosing a business structure without considering tax consequences

Final Reminder

A strong financial foundation helps your business grow with confidence. Good bookkeeping, accurate records, and proper tax planning from the beginning can save time and reduce unnecessary costs.



Sky High Financial Management

Bookkeeping • Accounting • Payroll • Tax Compliance • Financial Advisory

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